Index funds for beginners

An index fund is an investment fund that buys all the stocks in a market index, such as the S&P 500, instead of trying to pick winners. When the index goes up or down, the fund follows it.

Because nobody is choosing stocks, index funds charge very low fees, often below 0.1% a year. Over decades, lower fees mean you keep more of your returns. Holding hundreds of companies at once also spreads out your risk compared with owning a few individual stocks.

Most beginners invest the same amount every month, a habit called dollar-cost averaging. You buy more shares when prices are low and fewer when they are high, and you never have to guess the right moment to buy.

Index funds still go down in bad years, so they suit money you will not need for at least five to ten years. Check the expense ratio, pick a broad fund, and avoid checking the balance every day.